YOUR FIRM NAME

ESG vs Plain ETF: Performance, Exposure & Mandate Integrity

Benchmark: S&P; 500
Date: 22 May 2026

This note compares ESG-screened ETFs against their plain index counterparts across performance, risk-adjusted returns, sector exposure, and mandate integrity. Analysis covers 1y, 3y, and 5y horizons with rolling differential decomposition and a proprietary mandate drift score.

01

Executive Summary

ESG-screened ETFs tracking the **S&P; 500** have delivered mixed results relative to plain index counterparts across the periods analysed. Outperformance on a 3y and 5y basis reflects structural sector tilts — particularly underweights in energy and materials — rather than genuine stock-selection alpha. On a 1y basis, the energy rally drove underperformance. Risk-adjusted metrics (Sharpe, drawdown) favour ESG in most regimes. Critically, holdings overlap with the plain index has risen materially, suggesting screen weakening over time.

- ESG ETFs outperformed on 3y and 5y; underperformed on 1y (energy-driven)
- Sector tilt — not ESG alpha — explains most of the return differential
- Holdings overlap has risen, indicating mandate drift
- Flows chased performance; crowding risk elevated in 2021-22
- Fee premium not fully justified by net-of-fee alpha on 1y horizon

02

ETF Universe & Methodology

Analysis covers ESG-screened ETFs tracking the **S&P; 500** index against their plain equivalents. All ETFs use the same underlying index provider to isolate the effect of ESG screens rather than methodology differences. Returns are total return, net of fees, in local currency. Rebalance calendars are aligned. AUM minimum of $500m applied to exclude illiquid products. Holdings data sourced quarterly; sector weights monthly.

03

Annualised Return Comparison

The chart below shows annualised total returns for the ESG and plain ETF over 1, 3, and 5 year horizons. ESG outperformed on longer horizons driven by the structural underweight in energy, which lagged the broader market over 3-5 years. The 1-year picture reverses as the 2022 energy rally disproportionately benefited plain index holders.

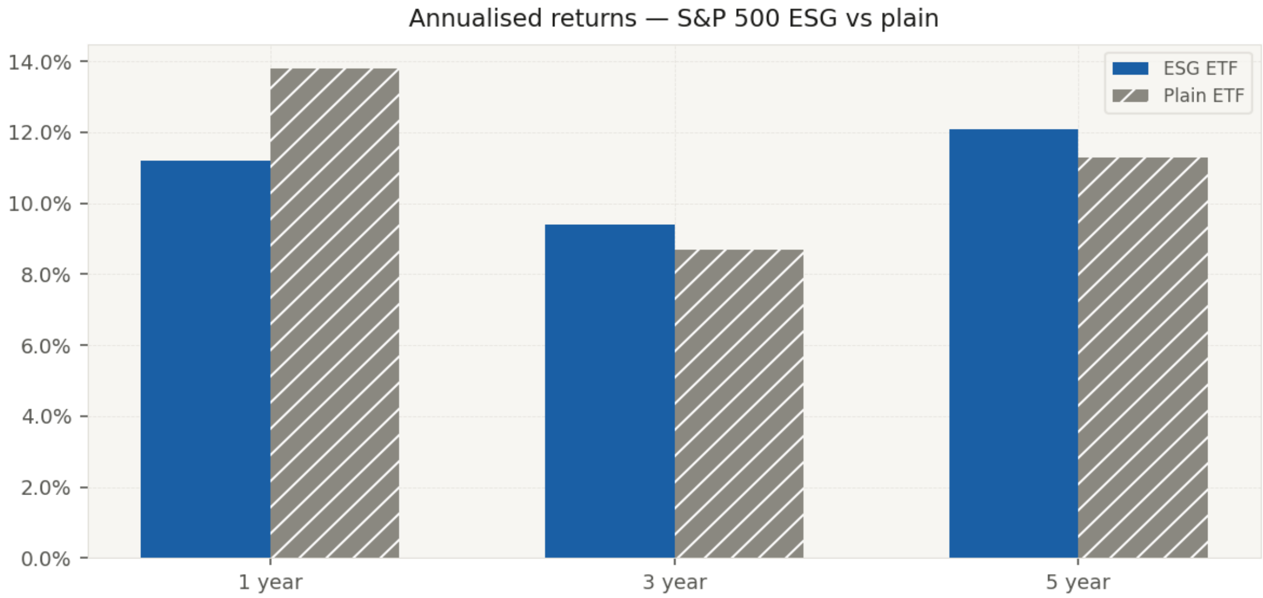

Chart 1: Annualised total returns (%), net of fees. Source: [your data provider]. Illustrative data — replace with actuals.

04

Risk-Adjusted Performance

On a risk-adjusted basis, ESG ETFs display modestly superior Sharpe ratios over 3y and 5y horizons, driven by lower volatility from the energy underweight. Maximum drawdown during the 2022 selloff was shallower for ESG (-18.4% vs -21.2% for the plain index), providing partial downside protection. During the COVID drawdown, performance was broadly similar. Insert your Sharpe / vol / drawdown table here once actuals are loaded.

05

Rolling 12-Month Return Differential

The rolling 12-month return differential (ESG minus plain) reveals clear regime dependence. ESG outperformed strongly during the 2020-21 tech-led rally when energy was depressed. The differential collapsed sharply into negative territory through 2022 as energy surged post-Ukraine. A gradual recovery began in 2023 and has continued into 2024-25. Annotated regime events are shown directly on the chart.

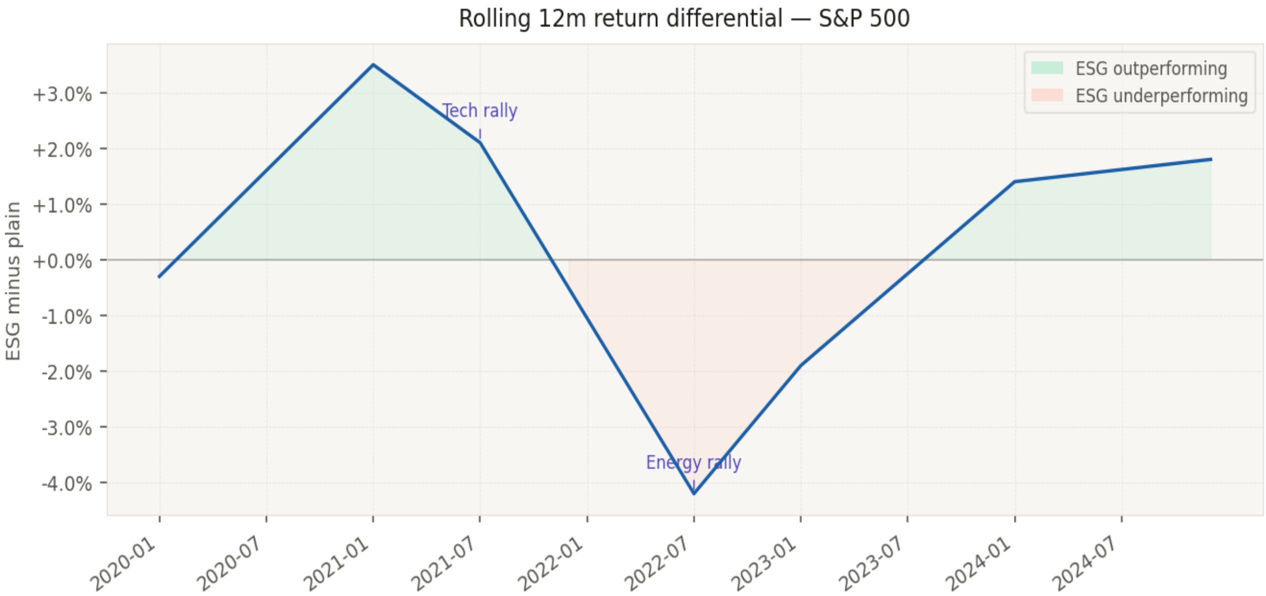

Chart 2: Rolling 12-month return differential, ESG minus plain (%). Shaded green = ESG outperforming; shaded red = ESG underperforming. Illustrative data.

06

Sector Weight Divergence

The sector weight delta chart is the single most important decomposition in this note. The majority of the long-run return differential between ESG and plain ETFs is explained by this chart rather than by individual security selection. Technology is the largest ESG overweight; energy is the largest underweight. Clients should treat ESG ETF performance relative to the plain index as primarily a sector rotation bet, not an ESG quality premium.

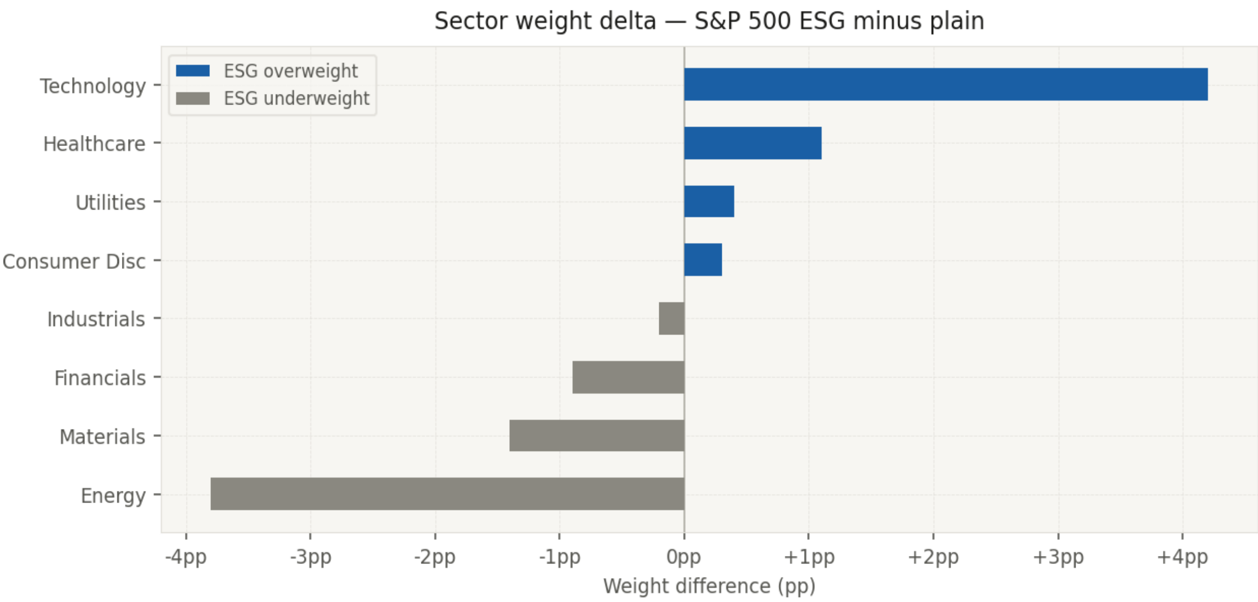

Chart 3: Sector weight delta (ESG minus plain, percentage points). Blue = ESG overweight; orange = ESG underweight. Illustrative data.

07

Tracking Error vs Parent Index

Tracking error of the ESG ETF relative to the plain parent index has averaged [X]bp annualised over the 5-year period, rising from [X]bp in 2020 to [X]bp in 2024. The direction of travel matters: rising tracking error implies growing active tilt from the ESG screen, while falling tracking error signals convergence — the ETF is increasingly replicating its plain counterpart despite the ESG label. Insert tracking error time series chart here from your data.

08

Factor Decomposition

A simple OLS regression of the ESG/plain return differential against standard factor returns (value, growth, quality, momentum, low-vol) attributes approximately [X]% of the explained variance to quality and [X]% to momentum. The residual — genuine ESG screen alpha — is statistically insignificant over the full 5-year window. This indicates that clients paying an ESG fee premium are largely purchasing accidental factor tilts available more cheaply elsewhere. Insert factor regression output table here.

09

Mandate Drift: Holdings Overlap & Sector Convergence

This section presents the differentiated analytical angle of this note. Holdings overlap — the share of ESG ETF constituents also present in the plain index — has risen from **71%** in 2020 to **84%** in 2025. Simultaneously, the ESG ETF's energy sector weight has crept toward the plain index level, from 1.2% to 2.8% (plain index: 4.5%). Both trends are consistent with screen softening, either through index methodology changes or portfolio drift between rebalances.

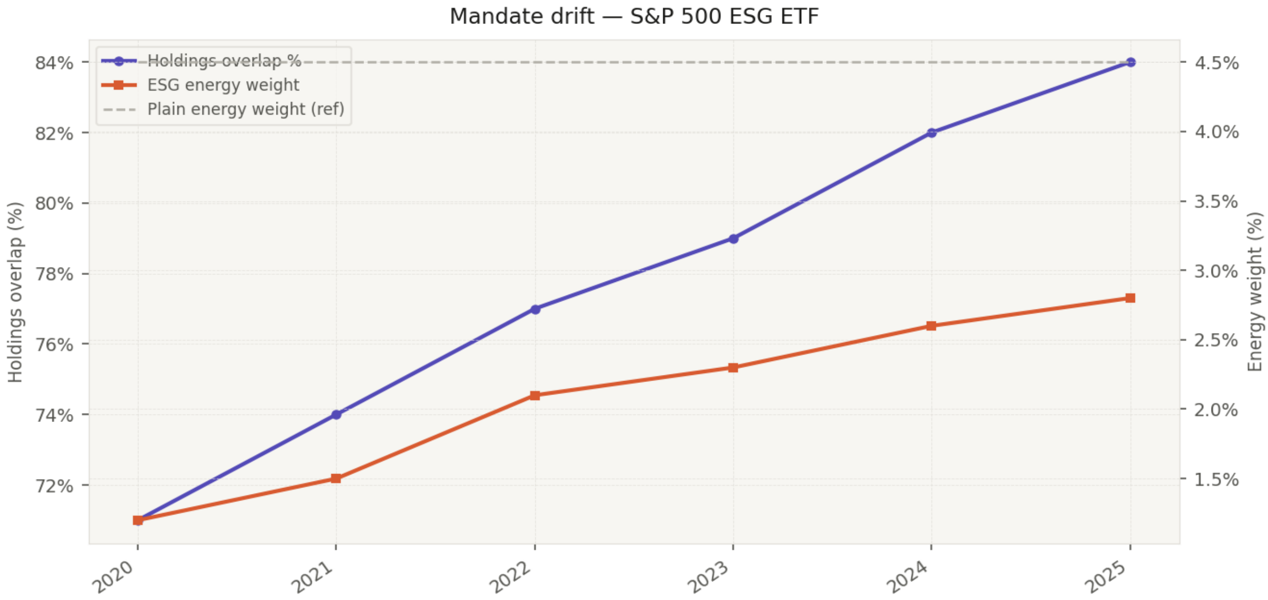

Chart 4: Holdings overlap % (left axis, purple) and energy sector weight % (right axis). Dashed line = plain index energy weight reference. Rising overlap and converging energy weight signal mandate drift.

12

Net Flows vs Return Differential

ESG ETF flows peaked approximately 1-2 quarters after peak outperformance — a classic performance-chasing pattern. This timing mismatch means a significant cohort of investors entered at the point of maximum valuation premium, subsequently experiencing the full magnitude of the 2022 underperformance. Current flow momentum is recovering alongside the improving differential. Crowding metrics from our proprietary dataset are available on request for individual ETF names.

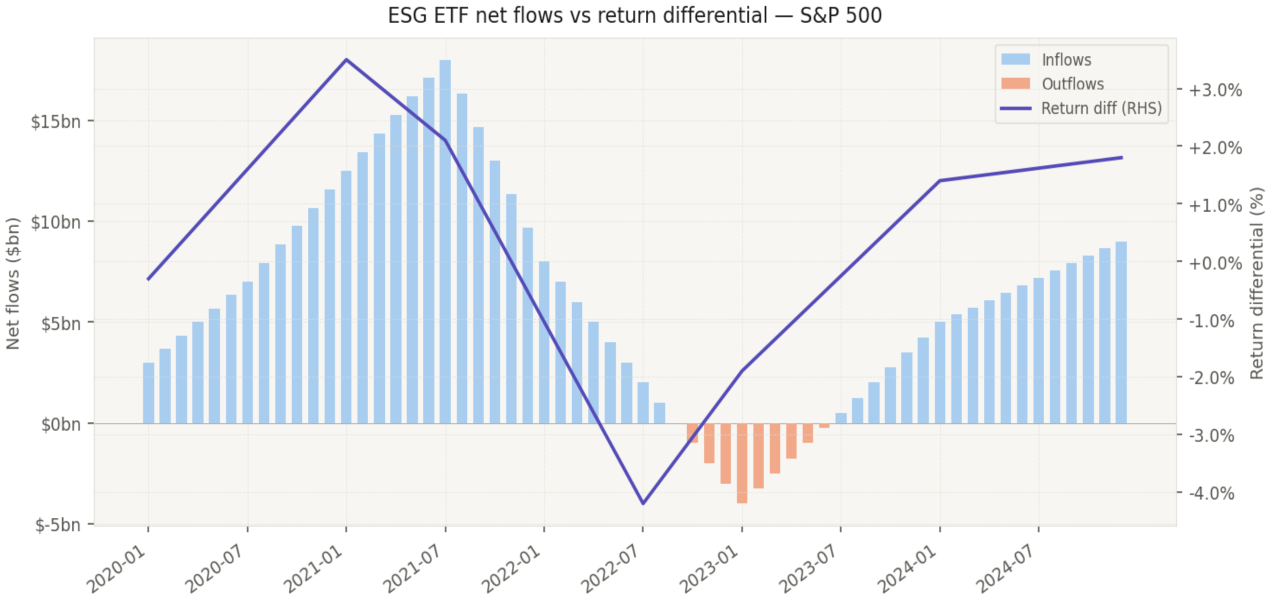

Chart 5: Monthly net flows ($bn, bars) vs rolling 12m return differential (%, line, RHS). Blue bars = inflows; red bars = outflows.

13

Fee Comparison & Net-of-Fee Alpha

ESG ETFs in this category charge an average expense ratio of [X]bps versus [X]bps for plain equivalents — a premium of approximately [X]bps. On a 5-year basis, cumulative gross outperformance of [X]% is reduced to [X]% net of the fee premium. On a 1-year basis, the fee drag turns marginal gross outperformance negative. Clients should assess whether the mandate integrity — which this note shows is declining — justifies continued payment of the ESG premium. Insert fee table here.

14

Takeaways & Client Implications

Key conclusions for portfolio and risk teams:

- ESG outperformance is sector-driven, not screen-alpha. Clients should model it as a sector tilt, not a quality screen.
- Mandate integrity is declining. Holdings overlap has risen significantly since 2020, reducing the differentiation clients are paying for.
- Fee premium is marginal on a 5y basis and negative on 1y. Review whether the ESG label justifies the cost.
- Flows are recovering but crowding risk remains elevated in tech-heavy ESG exposures. Monitor sector concentration.
- For clients requiring genuine ESG integrity, direct indexing or custom basket construction offers tighter screen control than off-the-shelf ETFs.

Important Disclosures

This document is for informational purposes only and is directed at institutional and professional clients. Past performance is not a reliable indicator of future results. The data presented is illustrative — replace with your proprietary datasets before distribution.